Innova Captab Ltd

Concall Tracker, Q1 2027 update · Screener ticker: INNOVACAP · Builds on the Q4-2026 report

EARNINGS-CALL DEEP READ · CONTINUITY

1. Snapshot: what the business is

In one line: Innova Captab makes finished medicines (tablets, capsules, syrups, injectables) for other drug companies under contract. That's called CDMO, contract development and manufacturing. It also sells its own branded generic medicines in India and abroad, partly through its subsidiary Sharon Bio-Medicine. Plants are at Baddi, Dehradun, Taloja and a new large one at Kathua in Jammu.

₹5,840 cr
Market value today. That's what the whole company is worth on the stock market.

₹471 cr
Q1 FY27 sales (Apr-Jun 2026, consolidated), up 34% on a year ago. A third more business than last year's same quarter.

₹75 cr / 16%
Q1 operating profit (EBITDA) and margin. About ₹16 of every ₹100 of sales was left before interest, depreciation and tax.

₹44 cr
Q1 net profit, up 42%. Profit grew faster than sales for once, which hadn't happened last year.

₹1,630 cr / ₹141 cr
FY26 full-year sales and profit. Sales rose about 31% but profit only about 10%.

P/E 61
The share costs about 61 times a year's profit. That's an expensive price, and it assumes a lot of growth ahead.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY24 to Q3 FY26 (9 calls)	Feb 2024 to Jan 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	8 May 2026	Read for the Q4-2026 report
Q1 FY27	**12 Aug 2026**	**Newly deep-read in full ★**

Screener lists 12 transcripts and all 12 downloaded. Only the new Q1 FY27 call was read in full this time. The story since the Dec 2023 listing comes from the prior report.

★ Latest concall highlights: Q1 FY27 (call held 12 Aug 2026)

- **Strong start to the year.** Sales up 34% to ₹471 cr and net profit up 42% to ₹44 cr. Read: profit finally grew faster than sales, which is what management promised once Jammu's costs were "in the base".
- **Both arms grew.** Contract manufacturing ₹329 cr (up 32%) and own brands ₹142 cr (up 39%). Read: the own-brand side is still the faster one.
- **Jammu turned the corner.** The plant made about ₹107 cr in sales, up from about ₹90 cr in Q4, and earned a small positive operating profit of ₹1-1.5 cr for the first time. Read: it has stopped losing money at the operating level.

- **Guidance held, not raised.** Still "20%+ volume growth" for FY27 with profit growing faster than sales. About 20-22% of Q1's growth was volume, the rest better mix and prices. Without Jammu, volume grew only about 12-14%.
- **Tone: confident but guarded.** The MD admitted growing at 20% "is not the easy job". Q1 is usually the weak season, and they expect Q2 onward to pick up.

Business mix & capacity: quick facts

- **Domestic vs export:** about 70% domestic and 30% export across the group. Exports were 32% of Q1 sales. Read: mostly an India business, with exports slowly creeping up.
- **Capacity use:** on Q1's run-rate Jammu is about 25-30% used, and management sees about ₹1,400 cr of sales there at 65-70% use. Older plants are filling up in core tablets and capsules, so small debottlenecking spends of ₹20-30 cr a year are planned. Read: Jammu still has most of its room left.

★ Since our last report

Builds on the Q4-2026 report (call of 8 May 2026). Prior verdicts: **trigger YES**, **consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	Jammu ramp plus fast-growing own brands, but slower than promised	Jammu sales up again and operating profit positive; own brands up 39%	**Improving**
Consistency	Delivers yearly numbers, keeps resetting Jammu targets	Q1 in line with guidance; Jammu peak held at ₹1,400 cr; Baddi plan still "being firmed up"	**Unchanged**
Profit to outgrow sales in FY27	Promised in May	Profit up 42% vs sales up 34% in Q1	**On-track**
Jammu turning profitable from FY27	Promised in May	Small positive operating profit in Q1	**Confirmed**
New Baddi block, ₹150-170 cr over FY27-28	Announced in May	"Plan is on same line", still being worked out; no budget or date given	**Slipping**
Regulated-market approvals for Jammu	Plant approvals received in FY26	Product approvals from different countries expected by end FY27	On-track

Verdict change: both verdicts unchanged. The trigger is stronger than three months ago because Jammu now pays its own way. Consistency gets a good quarter in its favour but one quarter doesn't wipe out the earlier Jammu resets, and the Baddi plan has gone vague.

3. Earning Trigger thesis ★

The driver: the Jammu plant is the growth spine. It roughly doubled the company's manufacturing base and comes with tax-refund and cheaper-loan benefits. Its costs are already in the profit line, so every extra rupee of Jammu sales now mostly drops to profit. Q1 was the first quarter where that showed: Jammu broke even at the operating level, and group profit grew faster than sales. The own-brand business keeps

compounding next to it. The catch is speed. Jammu is still only a quarter to a third used, and filling it depends on customer audits and country-by-country product approvals that take time.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Jammu ramp-up	₹1,400 cr at 65-70% use; margin to match the base business once mature	Sales ₹107 cr in Q1 (from ₹90 cr); operating profit positive	FY27-FY30	**Strong**	↑ improving: break-even crossed
Own-brand generics	Wider reach in India and new countries	Up 39% in Q1, after up 51% in FY26	Now	**Strong**	unchanged
Margin lift	Band of 15-16% ±2; "fair" long-run level 17-18%	16% in Q1; non-Jammu business near 20%	FY27 onward	**Moderate**	↑ improving: first sign in profit growth
New Baddi block	Plan "on same line", details later	Land owned; no firm plan	FY28+	**Unproven**	↓ weakening: less concrete than in May
Semaglutide (weight-loss drug)	"Status as is", batches in development	Nothing commercial	Unclear	**Unproven**	unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb-Nov 2024	Jammu running in H1 FY25	Started Jan 2025, 6-9 months late	**Partly**
2024-2026	Jammu peak sales of ₹1,800 cr, then ₹1,000 cr+, ₹2,000 cr, ₹1,200-1,300 cr, ₹1,400 cr+	Number reset several times; held at ₹1,400 cr this call	**Drifted**
FY26	Jammu sales of about ₹400 cr	About ₹300 cr	**Missed**
FY24-FY26	20%+ growth, 15-16% margins, repay debt	Growth 17% / 15% / 31%; margins held; debt repaid	**Delivered**
Q4 FY26 (May 2026)	Profit to grow faster than sales; Jammu profitable in FY27	Q1 profit up 42% vs sales up 34%; Jammu operating profit positive	**Delivered (so far)**
Q1 FY27 (Aug 2026)	20%+ volume growth for FY27; Jammu product approvals by end FY27	Open	Too early

Narrative drift: the big story is unchanged. Contract manufacturing on a cost-plus model, own brands on top, and Jammu as the growth engine. This call hit what May promised. The weak spots are the same as before. The flagship Jammu numbers wandered a lot in 2024-25, and now the Baddi expansion, announced with a budget in May, has gone back to "we'll come with a concrete plan". The CFO also leaned on "volume" growth when asked whether guidance could go up, which kept the target where it was.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

What moved: Jammu crossed operating break-even and group profit grew faster than sales, the first real proof of the operating-leverage story. Own brands keep growing in the high 30s. The runway is long because Jammu is

only about a quarter to a third used. The risk is pace. Approvals and customer audits set how fast it fills, and the stock already prices in a lot of that growth.

> **Management consistent? → MAYBE** vs last quarter: unchanged

What moved: a clean quarter. They delivered on the two things promised in May, profit growth ahead of sales and Jammu turning profitable. That counts in their favour. But the track record on the flagship project still includes a late start, repeatedly reset peak numbers and a clear FY26 miss, and the Baddi plan just got vaguer. Two or three more quarters like this one would earn a Yes.

Prepared from Screener.in concall transcripts (12 available; the Q1 FY27 call of 12 Aug 2026 deep-read in full, earlier calls carried forward from the Q4-2026 report) and Screener data. Figures are management's consolidated numbers unless noted. Coverage capped at calls held up to 30 Sep 2026. EBITDA = operating profit before interest, tax and depreciation. Not investment advice.